

ECONOMICS (EM) NOTES FOR 1st YEAR CLASS (PUNJAB)

Chapter 7

MARKET

CONCEPT OF MARKET:-

Ordinarily market is known that particular place where buyers and sellers of any commodity come together and make the transactions. But in Economics, the term market is used in broader sense.

According to Lipsey, "a market is an area over which buyers and sellers negotiate the transaction of a well defined commodity.

We can say that any place, area or region which fulfills the following conditions (essentials) may be regarded as "Market."

1. EXISTENCE OF THE COMMODITY

The presence or existence of the concerned good in finished form is an essential for the "market of that good".

2. COMMUNICATION OR CONTACT OF BUYERS AND SELLERS WITH EACH OTHER

This contact may be in Person through postal service, telephone, E-mail Fax, Internet etc.

3. ANY PLACE OR AREA

Such place may be a shop, bazar, town, city, Province, country or even the whole world where the contact between buyers and sellers is possible.

4. ONLY ONE PRICE IN THE MARKET

There must be only one price of the commodity in the whole market.

SIGNIFICANCE OF MARKET

Market has special significance because it plays a crucial role in the determination of pricing of goods. Its importance may be assessed as under:

1. PRICE DETERMINATION OF GOODS

Market is the only place where price of a good is determined in view of equilibrium between its demand and supply. This price mechanism plays a central role in making economic decisions in a "capitalistic" or "Mixed" economy.

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2. AVAILABILITY OF GOODS TO CONSUMERS

All type of goods are available in the markets. The consumer can purchase required goods to fulfill their wants according to their choice. Consumer's behaviour may be seen and judged in the market in view of changes in the prices of goods.

3. DECISION REGARDING PRODUCTION AND SUPPLY OF GOODS

Decisions about quantity of production of goods may only be taken in view of price system existing in the market. Existing prices are major factor for supply of goods in the market also as $q_s = f(p)$.

4. AVAILABILITY OF LABOUR FORCE

Services of labour force can be hired from the labour market. Moreover, wage determination takes place keeping in view the demand for and supply of labour in the market.

5. IMPORTANCE OF MONEY MARKET

In money market different components of money e.g. currency in circulation. Demand deposits, time deposits are kept in view. Demand for and supply of money is also taken into account.

6. IMPORTANCE OF CAPITAL MARKET

Purchase and sale of bonds, securities, debentures and shares of joint stock companies is carried out in the stock market. Investment trends, bullish, recovery or bearish situation can also be seen in this market.

7. UTILIZATION OF FOREIGN GOODS

Foreign goods are available in internal market. Imports and exports take place. Rate of exchange is determined in view of foreign exchange earnings and spendings. Balance of payments indicates economic condition of the country.

8. AWARENESS OF THE NATURE OF COMPETITION

Market study tells us whether there exists perfect competition, imperfect competition or monopoly-keeping in view the nature of competition price determination takes place in short and long period.

EXTENT OF THE MARKET

To know the extent of the market following factors play the crucial role.

1. NATURE OF GOOD

Market of perishable goods which cannot be stored at large scale and for longer period becomes limited. As vegetables, Fruit, fresh milk, eggs, fish etc. are supplied in day to day nearer market. While, on the other hand there is no risk in shifting durable goods such as; wheat, cloth, Bi-cycle, sugar etc. from one place to the other. Thus these goods have large markets.

2. SIZE, WEIGHT AND VALUE OF GOODS

Goods with heavy size and weight but less value e.g straw, fodder, bricks etc. have local and limited market. While, the commodities with more value and small size e.g. ornaments, wrist watches, cloth, books etc. are widely transacted and have large markets.

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3. DEMAND FOR GOOD

The greater the demand for a good, the larger of its market will be. But due to a little demand the market of the commodity may be local and limited.

4. QUANTITY SUPPLIED

When the production of a good takes place at large scale. It can be supplied to local and foreign markets in more quantity and market becomes wider.

On the other hand, if a good is being produced at small scale its market will be local and only a few consumers will be able to use it.

5. MEANS OF TRANSPORTATION AND COMMUNICATION

Market condition is greatly influenced by means for transportation e.g. Rails, Roads, Sea routes and Air Cargo. If, these resources are well developed, goods may easily be transported at cheaper rates from one place to the other. Under such a situation market expands; Similarly, publicity of the product through latest electronic and print media market may be extended.

On the other hand, backward and under developed means of transportation and communication create obstacles in the shifting of goods. Thus market remains limited.

6. BANKING SYSTEM

Modern banking system plays an important role in the transaction of goods. Credit money e.g. Bills of exchange, cheques, bank draft, M.T., T.T., on line transfer of money. Credit cards and ATM services facilitate payments for business purposes. It helps business activities to flourish and market to expand.

While in-stable and un-organised banking system causes limited transaction of goods in local markets only.

7. POLITICAL CONDITION

Political stability, better law and order situation, peace and security encourages demand and supply forces. Thus markets expand and large scale transaction takes place. While production and transaction of goods is discouraged under instable political condition, war, un-rest and insecurity.

8. COMMERCIAL POLICY

Free trade policy encourages imports and exports. Trade activities expand market limits. On the other hand, Trade restrictions result contraction in imports and exports. Thus goods market becomes limited.

9. GRADING OF GOODS

Standardization and grading of goods with attractive packing encourages demand for goods at large. Otherwise demand for goods falls resulting contraction in the market.

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10. SPECIALIZATION

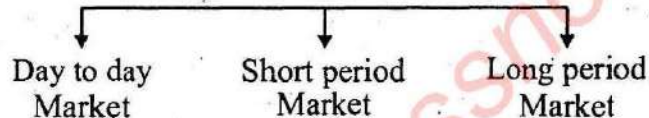
Division of labour and specialization encourages production at large scale. Internal and external economies are available. Cost of production falls, demand rises as goods become cheaper and market expands. In the absence of such facilities production takes place at small scale and market becomes limited.

KINDS OF MARKET

Market can be classified as under:

- (a) According to time period
- (b) According to situation or location
- (c) According to the nature of commodities
- (d) According to nature of competition.

(A) MARKETS ACCORDING TO TIME



(i) Day to day market:

Daily market is related with perishable goods. Its special feature is that; these goods cannot be stocked. Whatever supply available in the market has to be sold without delay. As supply cannot be changed within one day thus, it remains fixed. Price will be changed in view of changes in demand only.

Vegetables, Fruit, Milk, Eggs, Meat, Fish, Ice etc. are brought and sold in day to day market.

Note: Although fruit and vegetables may be kept in cold storage for some time but only at small scale. Fresh stock is sold in the day to day market only.

(ii) Short period market:

In the short run supply can be changed only up to a certain limit. It depends upon the quantity available in stock, provision of an extra shift in production unit and existing productive capacity of the industry. During short period neither new firms can be established nor the size of the existing firms can be changed. Changes in demand have dominating role in the price adjustments than supply in short period.

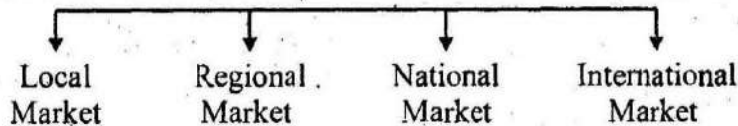
(iii) Long period market:

In long period there is sufficient time to change the size of the existing plants and new firms can also be established. There is a big scope for expansion and contraction of supply due to changing requirements in demand.

In the long period market, adjustments in demand and supply are easy and possible. Thus price fluctuations are very small and smooth. Both demand and supply forces play an equal role for price adjustments.

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(B) ACCORDING TO SITUATION OR LOCATION



(i) Local Market

It is a limited market. It consists of those goods or services which are produced and sold by the local people. It becomes difficult to supply these goods to the far flung areas. Because the goods are heavy in weight and size and low in value e.g. bricks, fodder, straw. Similarly, perishable goods e.g. Fresh Milk, Meat, Eggs, Vegetables, Fruit etc. also have local market.

(ii) Regional Market:

It is a market where those goods are transacted which are produced and consumed in a particular region. Generally these products are demanded only in a specific region being related to the habits, customs and traditions of the people of that region, e.g. Kohati Chapal, Sindhi-Shawl, Khushabi Lungi etc.

(iii) National Market:

Many goods are demanded throughout the country and can be transported easily from one part of the country to the other. These goods have national market because of having only one price in the whole country. Wheat, Ghee, Cloth, Cement, Sugar etc. have national market of Pakistan.

(iv) International Market

Such a market is spread over to the whole world or at least an area involving more than one country. These are durable goods being demanded internationally and can be produced at large scale. For example, cars, gold, petroleum, machines, drugs etc. are exchanged in international market.

(C) ACCORDING TO THE NATURE OF COMMODITIES / SERVICES



(i) General Market:

In this market all types of goods are available. For example, cloth, shoes, soap, tea, television, medicines, gold and all other necessities and required goods can be purchased in such a market. Anarkali bazar and Shahalam Market Lahore, Supper Market Islamabad and Katcheri Bazar sargodha may be regarded as general markets.

(ii) Special Market

In such a market only specific commodities are brought for sale. Fruit market, grain market, gold market, cloth market, electronics market are some examples of specialized markets.

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(iii) Sample Market

Some goods such as wheat, rice, grains, medicines etc. are generally sold through samples. Thus such type of goods have sample markets.

(iv) Graded Market

Some goods are sold on the basis of grades, labels and trade marks e.g. electronics goods are sold with respect to trade marks. Sony Televisions, Dawlance Refrigerator, Honda Cars, Rado Watches are some examples of such goods. Similarly Lux soap, Lipton Tea D.A.P. Fertilizer, Sohrab Bicycles is also available in graded form.

(v) Labour Market

It is the market where workers (labour forces) and employees make bargain.

(vi) Capital Market

It is also known as stock exchange market. Here shares of joint stock companies are traded. Sale and purchase of bonds, securities and de-bunchers takes place.

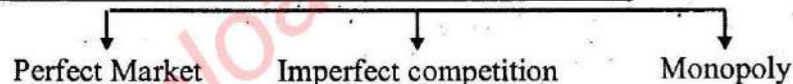
(vii) Money Market

This market depends upon central and commercial banks, financial, institutions, insurance companies etc. These institutions are involved in borrowing and lending of loans.

(viii) Foreign Exchange Market

In this market foreign currencies, e.g. Dollar, Yen, Pound Sterling, Riyal, Euro etc. are demanded and supplied and relative exchange rates are determined.

(D) ACCORDING TO THE NATURE OF COMPETITION



(i) Perfect Market

A market where following conditions / Assumptions of the perfect competition are fulfilled is known as "perfect market" or "competitive market".

1. HOMOGENEITY OF THE PRODUCT:

All units of a commodity sold in the market are perfectly identical with each other. These units have not any difference in size, weight, quality, label, formation etc. The buyers have no preference for the product of the firm. For example, every bag of premier cement is exactly same to the other, thus there is only one price for every bag.

2. LARGE NUMBER OF BUYERS AND SELLERS

In perfect market the number of buyers and sellers is very large. Every seller is having a small quantity of the product in his possession, while a buyer is only one among thousands and his demand is only a small fraction of the total demand. Thus an individual buyer or seller is not in a position to influence market price by his own action. He has to follow the market price which remains same in the whole market. He may sell any quantity or buy any quantity, the market price is not affected.

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3. FREE ENTRY AND EXIT

Under perfect competition new firms have freedom to enter and existing firms may leave the industry. In this respect firms do not face any type of restrictions. Due to free entry and exist of firms, equilibrium between demand and supply is visible which establishes only one price in the whole market.

Note: When these three conditions are fulfilled in the market, the nature of competition becomes "pure competition".

4. ELASTIC SUPPLY OF FACTORS OF PRODUCTION

In a perfect market, the factors of production are assumed more elastic in supply. Due to free mobility of these factors more units can be easily shifted and employed in the production units where demand of this product rises. On the other hand, if demand for the product falls, some units of these factors can be shifted towards other producing units per requirement. In this way on one hand the rewards of these factors remain the same while on other side only a single price of the product is determined in the market.

5. PERFECT KNOWLEDGE OF THE MARKET

Every buyer and seller is assumed to have full knowledge of market conditions. Due to full awareness about quantity and price of the product, none of the parties will be in a position to exploit the other. Buyer will not pay more than the existing market price while seller will not receive less than that price. Therefore, same price will prevail in the whole market.

When the above mentioned conditions are fulfilled in the market, there will be only one price of the commodity through out the market.

(ii) Imperfect Market

While all or some of the conditions of perfect competition are not fulfilled the market is known as "imperfect market." In such a market, individual buyers or sellers are in position to influence the price of the good. Now a days a large number of goods is being transacted in such markets.

Imperfect market may take any of the following forms:

1. DUOPOLY

When only two producers or sellers have full control over the supply of the goods, the market is known as "duopoly". As every firm holds a large part of the product thus price can be influenced through changes in supply. These sellers may compete or co-operate with each other.

2. OLIGOPOLY

In such a market only a few firms (four to five) take the responsibility of the whole supply of the product in the market. Price can be influenced while bringing change in supply of the product. Oligopoly may be "pure" or "differential" depending upon the quality, size, nature and characteristics of the commodity.

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3. MONOPOLISTIC COMPETITION

In such a market there are many firms producing, close substitutes. The basic product and its use is the same. But there is some difference in design, label, trade mark, packing, size, quality etc. of each firm. Soap is such a product available in the market e.g., Lux, Life Bouy, Imperial Leather, Capri, Due etc. Every firm spends a lot of money on publicity through electronic and print media to attract consumers. Lowering of price and many other measures are also taken to enhance sale and make the product popular among buyers.

(III) MONOPOLY

Monopoly is a market where supply of the product / service is entirely under the control of a single firm / supplier. It is a situation where:

- (a) There is only single supplier or producer. No difference between firm and industry. Thus it is a single firm industry.
- (b) There is no close substitute for the product of the monopolist.
- (c) It is a competition free firm. There is no fear of new entry or rivals.
- (d) As a monopolist has full control over the supply of his product thus an independent price policy can be adopted by him. A monopolist can either fix the price or can fix the quantity to be sold.
- (e) Price may be decreased to sell more quantity of the product. As price = Average revenue ($P = AR$) thus AR curve moves downward with -tive slope. Actually AR is the demand curve of the monopolist. Marginal Revenue (MR) curve also falls downward but it falls sharply than AR curve. Thus MR curve while falling remains under the AR curve.

PRICE DETERMINATION UNDER PERFECT COMPETITION

Keeping in view period of time economists have described following forms of equilibrium price.

- 1. Market Price.
- 2. Normal price.

1. MARKET PRICE

It is day to day market price which is determined in view of temporary equilibrium between demand and supply. Market price rises with the increase in demand and falls due to decrease in it. Supply plays a little role than demand in market price determination. It can be explained as under:

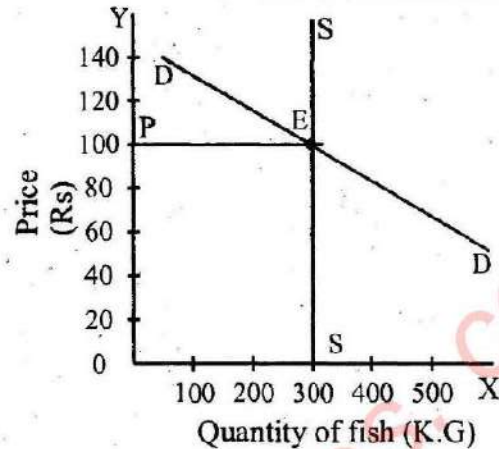
(i) Price determination of a perishable good

The goods which cannot be stored and perish soon e.g. vegetables, fruit, meat, eggs, fresh milk etc. are known as perishable goods. Their supply is almost fixed. Thus supply curve (SS) becomes vertical upon x-axis. On the other hand demand curve (DD) is -tively sloped. Price of such a good is determined where DD and SS intersect each other.

In the following schedule and diagram we examine the price determination of fish in daily market.

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Price (Rs) (Per K.G)	Qs(K.G)	Qd(K.G)
140	300	100
120	300	200
100	300	300
80	300	400
60	300	500



In the schedule supply of fish remains same (300 K.G. at all price levels but demand goes on increasing with the fall in price. When $p = 100$ $q_s = q_d = 300$

Thus equilibrium price = 100 and equ. quantity = 300. Diagram shows E as equilibrium point where Ss and DD intersect each other. At point E equ. price = 100 and $q_d = q_s = 300$.

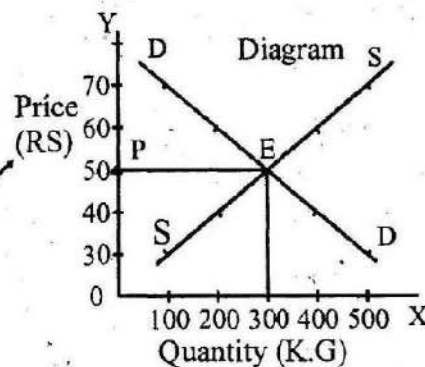
(ii) Price determination of a durable good

A durable good can easily be stored for a quite reasonable time period e.g. wheat, rice, sugar, cloth, television etc. There is no danger of quick destruction of such a good. The whole quantity is not supplied if price is low. At rising prices the supply can be increased up to the extent it is available in houses. Warehouse or any where near the market. As Ss and DD curves move in opposite direction, thus the point of intersection will be determining market price of the durable good.

It can be explained as under while keeping in view the price, q_d and q_s of sugar.

Schedule

Price (rs Per K.G)	Qs(K.G)	Qd(K.G)
70	500	100
60	400	200
50	300	300
40	200	400
30	100	500



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In schedule demand expands with the fall in price while supply contracts. Because $q_d = f(p)$ (Decreasing function) and $q_s = f(P)$ an Increasing function. Demand shows a -tive relationship but supply indicates a +tive functional relation with the changes in price.

In schedule at $p = (50 \text{ Rs})$ $q_d = q_s = 300$ (K.G). Thus Rs.50 per kg equilibrium price is determined in the market.

In Diagram SS (supply curve) and DD (demand curve) intersect each other at point E, which is the equ. point. At point E equ. price = Rs.50 while $q_d = q_s = 300$. Thus the market price of sugar is determined as Rs.50 per K.G.

SALIENT FEATURES OF MARKET PRICE

1. Market price is temporary in nature and fluctuates day by day.
2. Supply of perishable goods is fixed while, the supply of durable goods may be increased upto limited quantity available is stock.
3. Changes in demand lead to change in price. It means that demand plays more important role in price determination than supply.
4. Market price revolves around the normal price.

2. NORMAL PRICE

It is determined by the stable equilibrium of demand and supply forces. Changing demand can easily be matched by required changes in supply. If, demand rises, there is sufficient time to increase output and supply by expanding the size of existing plants or by the installation of new firms and plants. Thus permanent and stable equilibrium exists between demand and supply. Normal price can also be explained under two conditions.

(i) Short period normal price

In short period neither size of old firms can be changed nor new firms can be established. Thus production can be increased upto a limit depending upon the possibility of Extra shift and excess production capacity of the existing firms. Hence, short period supply curve (SPC) is elastic with respect to day to day market.

(ii) Long period normal price

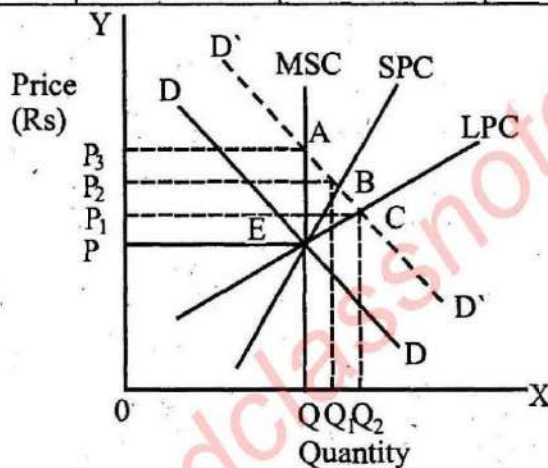
In long period there is sufficient time to change the size of existing plants and new firms can also be established. There is a big scope for expansion and contraction of supply due to changing requirements in demand.

In the long period market adjustments in demand and supply are easily possible. Thus there is stable and durable equilibrium between demand and supply forces-long period supply curve (LPC) becomes more elastic than short period supply curve (SPC).

The case study of all the possibilities of market and normal price determination have been shown with the help of following schedule with respect to demand and supply of meat.

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Price of Meat per (K.G.) Rs.	Market supply (K.G.)	Market demand (K.G.)	Expansion in demand (K.G.)	Short period supply (K.G.)	Long period supply (K.G.)
250	500	300	400	700	1000
225	500	400	500	600	800
200	500	500	600	500	500
175	500	600	700	400	300
150	500	700	800	300	100



Explanation:

- x-axis shows Q_d and Q_s (quantity)
- y-axis indicates price of meat.
- DD = demand curve
- MSC = Market supply curve.
- SPC = short period supply curve.
- LPC = long period supply curve.
- E = Equilibrium point indicating OP (Eq. price) and OQ (Equ. quantity)

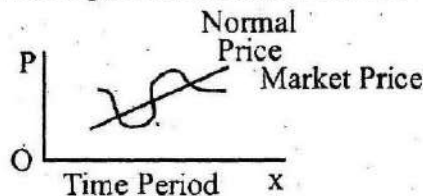
When demand expands D'D' becomes the new demand curve.

- D'D' intersects MSC at point A, thus price rises to P₃ but quantity remains unchanged as OQ.
- D'D' and SPC intersect each other at point B where price rises to P₂ and quantity increases to Q₁.
- D'D' and LPC intersect each other at point C where price increases to P₁ and more rise in quantity has been shown as Q₂.

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SALIENT FEATURES OF NORMAL PRICE

1. It is a long term stable price which is determined by the permanent forces of demand and supply.
2. Both demand and supply have important role in it's determination rather supply is more elastic and influential.
3. It remains stable and market price fluctuates around it.



4. Laws of return also influence normal price. Supply curve is more elastic under law of increasing return while it becomes less elastic under law of decreasing return.
5. Normal price is determined with respect to the goods which can be produced repeatedly e.g. Rice, Wheat, Ghee, Cars etc.
6. Exceptions have no normal price.

OBJECTIVE QUESTIONS

Select and tick (✓) Correct answer.

1. Which one is not a market according to time period
(a) Regional market (b) Day-to-day market.
(c) Short run market (d) Long run market
2. Daily market has
(a) Infinite supply (b) Fixed supply
(c) Short run supply (d) Supply according to demand
3. Which one may not be regarded as an assumption of perfect competition.
(a) Homogeneity of product (b) Elastic supply of factors
(c) Price difference (d) A large number of buyers
4. Under Monopoly
(a) A good is produced by many firms (b) Market determined price
(c) No close substitute (d) Free entry in the market
5. Extent of the market depends upon
(a) Development of means of transportation
(b) Transaction of perishable goods
(c) Trade Restrictions
(d) Un-rest and emergency
6. Under Monopolistic competition there is
(a) One firms full control over supply
(b) Monopoly of a few firms
(c) Many firms with separate label and trade mark.
(d) State control over supply

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7. The nature of Mango is
(a) Durable (b) Fixed supply
(c) Positively sloped supply curve (d) Ever lasting
8. Normal price is of
(a) Permanent nature (b) Temporary nature
(c) Market period (d) Moves around market price
9. Having large number of buyers and sellers the market is known as:
(a) Perfect competition (b) Imperfect competition
(c) Monopoly (d) Monopolistic competition
10. Market price fluctuates around:
(a) Day-to-day market price (b) Normal price
(c) Consumers demand (d) Firms
11. When a firm charges different prices from different buyers it is known as
(a) Dumping (b) Special price
(c) Price discrimination (d) Opportunity price
12. A "group of firms" producing sugar is known as
(a) Industry (b) Cartel
(c) Perfect competition (d) Monopoly

DESCRIPTIVE PART - I

SHORT NOTES

1. How market can be defined?

According to Lipsey "A market is an area over which buyers and sellers negotiate the transaction of a well-defined commodity. And there is only one price in whole area. It may be a shop, a town, a city, a country or whole world and there is only one price in whole area."

2. Discuss the kind of market according to competition?

- a) Perfect Market
- b) Imperfect Market
 - (i) Duopoly
 - (ii) Oligopoly
 - (iii) Monopolistic Competition
- c) Monopoly

3. Point out the key assumptions of perfect competition?

- (1) Homogeneity of the product.
- (2) Large number of buyers and sellers
- (3) Free entry and exit
- (4) Elastic supply of factors of production
- (5) Perfect knowledge of the market

4. Discuss various form of market in view of situation?

IN view of situation/location the forms of market are

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- (i) local market
- (ii) Regional Market
- (iii) National Market
- (iv) International Market.

5. Define "Capital Market"?

Here Shares of joint stock companies are traded, sale and purchase of bonds, securities and de-bunchers takes places. It is also known as stock exchange market.

6. What is monopoly?

Monopoly is said to exist, when there is one and only one seller in a well-defined market. There is no close substitute of the product. No competition exists at all. There is no free entry and exit of firms.

7. What is meant by Market Equilibrium?

When price is determined with the intersection of both opposite forces supply and demand curves is called Market Equilibrium. The equilibrium point is where demand = supply

8. How market price can be defined?

It is day to day market price which is determined in view of temporary equilibrium between demand and supply. Whereas, demand play major role in its determination.

9. What is normal Price.

Normal price is a price of durable goods which is determined by the stable equilibrium of demand and supply.

10. Point out four important factors upon which the extent of market depends?

- (i) Nature of goods,
- (ii) Size, weight and value of goods,
- (iii) Demand for goods,
- (iv) Quantity supplied.

11. Bring out difference between general market and special market?

In a General market all types of goods are available e.g. cloth, shoes, soap, tea etc. Whereas in special market only specific commodities are available e.g. fruit market, grain market, gold market etc.

PART – II

1. Discuss the concept and Importance of the market.
2. Discuss various kinds of market.
3. How price is determined under perfect competition.
4. How market price is determined Explain with graphs.
5. How the price of a " perishable good" is determined.

